SUPERCYCLE WAVE (V)

As you can see in Figure 2-1, Supercycle wave (V) dating from 1932 is the final component of the larger Grand Supercycle dating from 1784. Let's examine this structure in greater detail.

In 1978, *Elliott Wave Principle* argued that the pattern from the 1932 low would ultimately be labeled I-II-III-IV-V. We concluded that wave IV of that pattern had ended at the price low of December 1974, as shown at the time in Figure 2-4. As we noted then, the formation had faithfully followed all the rules and guidelines of the Wave Principle up to that point. Wave IV held above the price territory of wave I, wave III was the longest, or "extended," wave, as is most commonly the case, and the triangle pattern of wave IV alternated with the zigzag pattern of wave II. Subwaves I and III were well constructed also, as both sported alternation, with each Primary wave ② a zigzag and each Primary wave ④ a flat. Finally, the trend

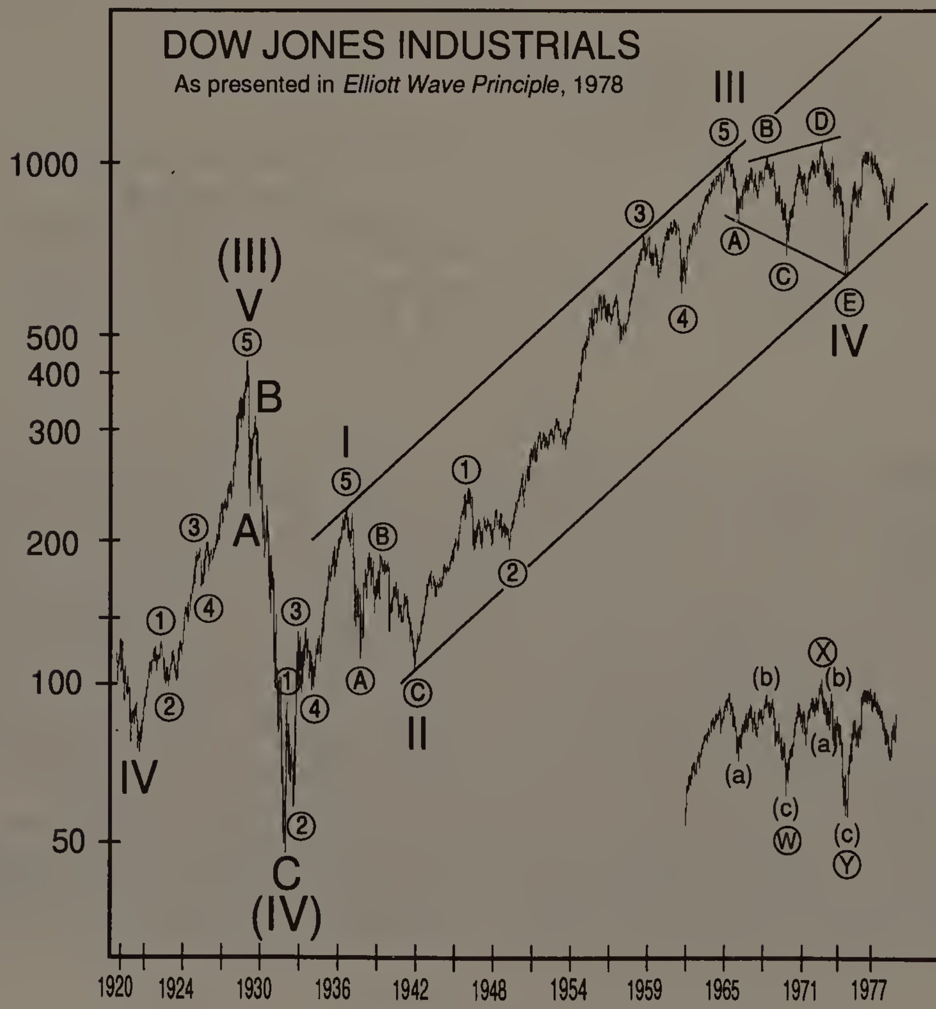

Figure 2-4